MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) Regular EXAMINATION October 2025

Third SEMESTER

Discipline Specific Elective (DSE) - MG3DSEECO202 - LIFE INSURANCE

(2024 ADMISSION ONWARDS)

SCHEME OF VALUATION

Duration: 2hrs **Maximum Mark: 70**

Part A

1. **b). General insurance - (1 Mark)**
2. **a). PMJJBY - (1 Mark)**
3. **c). It is a personal and voluntary savings plan - (1 Mark)**
4. **b). Make a request to the insurance company for the payment of benefits - (1 Mark)**
5. **b). To assess the risk and fix premium - (1 Mark)**
6. **c). Any person choosen by the policyholder - (1 Mark)**
7. **b). Fraud - (1 Mark)**
8. **c). Policy document - (1 Mark)**
9. **b). Simplified underwriting - (1 Mark)**
10. **c). Agents represent the insurer; brokers represent the customer - (1 Mark)**

Part B

11. What is motor insurance and why is it important?

- **What it is :** Motor insurance is a policy that provides financial protection for vehicles against losses from accidents, theft, or natural disasters.**(1.5 Marks)**
- **Why it is important :** It covers repair costs and, crucially, covers third-party liability (damage caused *to others*), which is mandatory by law in India. **(1.5 Marks)**

12. Describe the evolution of life insurance during the colonial period in India.

- Life insurance began in 1818 with the Oriental Life Insurance Company, primarily for Europeans. Indian lives were charged higher premiums. The first Indian company, Bombay Mutual Life Assurance Society (1870), insured Indian lives at standard rates. (Full marks for mentioning the start,

discrimination, and the first Indian company). **(3 Marks)**

13. What were the effects of liberalization on the Indian insurance industry?

- Liberalization (post-1999) ended the monopoly of LIC, allowed private and foreign (as JVs) companies to enter, led to increased competition, a wider variety of products (like ULIPs), and improved customer service. (1 mark for any 3 valid points). **(3 Marks)**

14. What were the main recommendations of the Malhotra Committee (1993)?

- Key recommendations were:
    1. Allow private sector companies to enter the industry.
    2. Establish an independent regulatory body (which became IRDAI).
    3. Allow foreign companies to enter as joint ventures. (1 mark for each correct recommendation). **(3 Marks)**

15. What is principle of indemnity? Explain its main purpose.

- **Principle :**States that insurance should restore the insured to the same financial position they were in *before* the loss, not allow them to profit. **(1.5 Marks)**
- **Purpose :** To provide compensation for the actual loss and prevent insurance from being used for profit or gambling. **(1.5 Marks)**

16. Explain the factors insurance companies consider before approving motor vehicle insurance?

- Any three factors:
    1. **Vehicle:** Make, model, age, Insured Declared Value (IDV).
    2. **Driver:** Age, driving record, experience.
    3. **Usage:** Geographical location (city/rural), purpose (private/commercial).
    4. **History:** No Claim Bonus (NCB) record. (1 mark for each correct factor). **(3 Marks)**

17. Why fair distribution of surplus important?

- Surplus is the profit of the insurer. Fair distribution is vital for "with-profit" policies, as this profit is shared with policyholders as bonuses. It ensures transparency, delivers the promised returns, and maintains customer trust. **(3 Marks)**

18. In 'Proportional Reinsurance', how are premiums and losses shared between the insurer and reinsurer?

- The insurer (ceding company) and the reinsurer share premiums and losses in a **fixed, pre-agreed percentage**. For example, in a 60% share, the reinsurer receives 60% of the premium and pays 60% of the claims. **(3 Marks)**

19. Explain loan facility available to policyholders

- A policyholder can take a loan *after* the policy acquires a surrender value. The policy acts as collateral. The loan is a percentage (e.g., 80-90%) of the surrender value, and interest is charged. (1

mark for each point). **(3 Marks)**

20. What is the triggering event for a Maturity Claim and who can make the claim?

- **Triggering Event :** The policyholder surviving until the end of the specified policy term (the maturity date). **(1.5 Marks)**
- **Who Claims :** The policyholder themselves. **(1.5 Marks)**

21. What is the first step a family must take when a person covered by a life insurance policy goes missing?

- The very first step a family must take when a person covered by a life insurance policy goes missing is to file a Missing Person's Report (First Information Report or FIR) with the local police. This official report is the primary document required to initiate any legal or insurance process. It formally documents the disappearance, which is essential as a person can generally only be legally presumed dead after seven years from the date of this report. **(3 Marks)**

22. What two factors are used to categorise risks in the 2x2 Risk Management Matrix?

- The two factors used to categorize risks in a 2x2 Risk Management Matrix are Risk Likelihood and Risk Impact.
- Risk Likelihood (or Frequency): This factor assesses how often or how probable it is that a specific risk will actually happen (e.g., 'Rare', 'Possible', 'Frequent'). **(1.5 Marks)**
- Risk Impact (or Severity): This factor measures the seriousness of the consequences or the damage that would be caused if the risk occurred (e.g., 'Minor', 'Moderate', 'Catastrophic'). **(1.5 Marks)**

23. Under which section of the Income Tax Act are premiums paid for a life insurance policy generally eligible for deduction?

- Premiums paid for a life insurance policy are generally eligible for a deduction from gross total income under Section 80C of the Income Tax Act, 1961. Deduction Limit, Eligible Persons and Premium Condition. **(3 Marks)**

24. What are the documents required for a death claim in life insurance?

- Any three:
    1. Completed claim form.
    2. Original Death Certificate (issued by municipal authority).
    3. Original policy document.
    4. Nominee's ID proof and bank details (KYC). (1 mark for each correct document). **(3 Marks)**

25. What happens if an agent acts outside their authority?

- The insurance company (principal) is generally not liable for acts outside the agent's *actual* authority. However, the company may be liable if the agent acted within their *apparent* (perceived) authority. The agent can be held personally liable for the breach. **(3 Marks)**

Part C

26. Explain the structure and composition of the Insurance Regulatory and Development Authority of India (IRDAI).

- **Structure :** IRDAI is the statutory, independent regulatory body for the insurance industry in India, headquartered in Hyderabad. Its role is to protect policyholders and regulate the industry. **(2 Marks)**
- **Composition :** It is a 10-member body: one Chairperson, five full-time members, and four part-time members, all appointed by the Government of India. **(4 Marks)**

27. Discuss the role and importance of the Life Insurance Corporation of India (LIC).

- **Role :** Established in 1956 by nationalizing the sector. Its primary role was to spread life insurance awareness across India, especially in rural areas, and to channel public savings into national development. **(3 Marks)**
- **Importance :** LIC is the largest insurer in India with a dominant market share. It has a vast agency network, fosters a culture of savings, and is a major domestic institutional investor, significantly contributing to the economy. **(3 Marks)**

28. Explain how age and health influencing life insurance.

- **Influence of Age :** Age is a primary risk factor. A younger person has lower mortality risk, so premiums are lower. As age increases, the risk of death increases, leading to significantly higher premiums for new policies. **(3 Marks)**
- **Influence of Health :** Health is assessed via underwriting (medical history, habits like smoking). A healthy person pays a standard premium. An individual with pre-existing conditions (e.g., diabetes) or risky habits will be charged a higher premium (a "loading") or may be denied coverage. **(3 Marks)**

29. LIC's Jeevan Akshay VI and New Jeevan Shanti are both pension plans. Explain the key difference in when you start receiving the pension from each?

- **Jeevan Akshay VI :** This is an **Immediate Annuity** plan. The policyholder pays a single lump-sum premium, and the pension (annuity) payments begin *immediately* (e.g., from the next month). **(3 Marks)**
- **New Jeevan Shanti :** This is a **Deferred Annuity** plan. The policyholder pays a lump sum, but the pension payments are *deferred* (postponed) for a chosen period (e.g., 1 to 20 years). This allows the fund to grow, resulting in a higher pension amount later. **(3 Marks)**

30. What is a Provident Fund (PF) and how does it work?

- **What it is :** A Provident Fund (like EPF) is a mandatory, long-term retirement savings scheme for salaried employees in India. **(2 Marks)**

- **How it works :** A fixed percentage of the employee's salary is deducted and contributed. The employer makes a matching contribution. This accumulated amount earns a government-declared, tax-free interest. The total corpus is paid out as a lump sum upon retirement. **(4 Marks)**

31. How does a ULIP work? Where does your money go when you pay the premium?

- **How it works :** A ULIP (Unit Linked Insurance Plan) is a product that combines insurance (life cover) and investment. **(2 Marks)**
- **Where money goes :** When a premium is paid, a portion is deducted for charges (mortality charge for life cover, admin charges). The remaining amount is invested in market-linked funds (e.g., equity, debt) chosen by the policyholder, who bears the investment risk. **(4 Marks)**

32. Describe the different types of individual life insurance policies.

1. **Term Insurance:** A pure protection plan; pays the death benefit only if the insured dies during the term. No maturity value.
2. **Endowment Plan:** A protection + savings plan; pays on death *or* on survival at the end of the term (maturity).
3. **Money-Back Policy:** An endowment plan where a percentage of the sum assured is paid back at regular intervals as survival benefits.
4. **Whole Life Policy:** Provides insurance cover for the entire life of the insured (or up to age 100).
5. **ULIP:** Combines insurance with market-linked investments. **(6 Marks): (Any 4 types, 1.5 marks each)**

33. What is an Endowment Plan and how is it different from a Term Plan?

- **Endowment Plan :** This is a savings-oriented policy that provides a dual benefit: (1) A death benefit to the nominee if the insured dies during the term, and (2) A maturity benefit (sum assured + bonuses) to the policyholder if they survive the term. **(3 Marks)**
- **Difference :** A Term Plan is a pure-risk policy; it *only* pays a death benefit and has no maturity/survival value. Because of the savings component, Endowment Plan premiums are much *higher* than Term Plan premiums for the same cover. **(3 Marks)**

34. Explain the principle of utmost good faith.

- **Definition (2 Marks):** Called *Uberrimae Fidei*, it is a legal doctrine stating that both parties (insured and insurer) must disclose all **material facts** relevant to the contract honestly and completely.
- **Insured's Duty (2 Marks):** Must disclose all facts about health, habits (smoking), occupation, etc., that could affect the insurer's decision.
- **Consequence (2 Marks):** Failure to disclose (misrepresentation or non-disclosure) of a

material fact makes the contract voidable by the other party. **(6 Marks)**

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35. Describe the unique features of insurance marketing.

1. **Intangible Product:** It's a promise, not a physical good; it cannot be seen or touched.
2. **Negative Demand:** It is "sold, not bought" as it relates to negative events (death, loss).
3. **Long-Term Contract:** The relationship is built on trust and spans decades.
4. **Technical Complexity:** Policies are complex legal documents requiring explanation.
5. **Heavy Regulation:** Marketing and sales are strictly regulated by IRDAI to protect consumers. (**Any 4 features, 1.5 marks each) (6 Marks)**